Following the Money: Charter, Tracking and Cost Control on a Fixed-Budget Rollout

Oct 1, 2026 · @Lekhyasri Pandavula

Overview

Project Threshold rolled out a digital onboarding platform across four sites for £180,000 against a £200,000 approved budget, after a 10.6% cost overrun was caught and recovered in Month 3.

This is a scenario-based case study. The organisation, people and figures are illustrative, built to show how I would charter a project, set up tracking, and control costs when an assumption breaks.

The organisation. Northbridge Services is a fictional mid-sized organisation with around 850 staff across four UK sites, hiring about 220 new starters a year. Onboarding ran on paper forms and email chains between HR, IT and line managers.

The problem. 38% of new starters arrived without full system access on day one. HR spent about six hours of admin on each starter, and two of the last four internal audits flagged incomplete right-to-work records.

Why it travels across sectors. In financial services, a starter can't touch customer data until checks and compliance training are complete. In healthcare, mandatory training gates access to clinical systems. In technology, day-one productivity depends on accounts and equipment being ready.

My role. Project Manager, reporting to the Director of People as sponsor. I owned the charter, the baselines, weekly tracking, budget control and reporting to the steering committee.

Measure	Plan	Result
Total approved budget	£200,000	£180,000 spent, £20,000 returned
Cost baseline (BAC)	£170,000	£180,000 actual, final CPI 0.94
Contingency reserve	£17,000	£10,000 used
Management reserve	£13,000	Not used
Go-live	Week 21	Week 22
Project close	Week 26	Week 27

Project charter

The charter, signed in Week 1, set a £200,000 budget, a 26-week timeline and the tolerances that later decided who could approve what.

Item	Detail
Project	Project Threshold: Digital Onboarding Platform
Sponsor	Director of People
Project manager	Lekhyasri Pandavula
Duration	26 weeks
Total approved budget	£200,000
Signed	Week 1, by the sponsor, project manager and Finance Business Partner

Purpose

Replace manual onboarding with one digital platform, so every new starter arrives on day one with system access, signed policies and a verified right-to-work record.

Objectives

1. Go live at all four sites by Week 21, within the £200,000 approved budget.
2. Cut new starters arriving without full system access from 38% to under 5% within three months of go-live.
3. Cut HR admin time per new starter from about six hours to under two within three months of go-live.
4. Hold 100% of right-to-work checks and policy sign-offs as digital, auditable records from go-live.

Scope

In scope

- Configuration of a SaaS onboarding platform: forms, workflows, e-signature and task checklists
- Integration with the HR system for employee records, and with the IT service desk for account and equipment requests
- Migration of onboarding templates, policies and in-flight starter records

- Training for HR, IT and line managers at all four sites
- Four weeks of hypercare after go-live

Out of scope

- Replacing or upgrading the HR system
- Payroll changes
- Offboarding, logged as a phase-two candidate
- Recruitment and applicant tracking

Milestones

Milestone	Baseline week	Evidence to pass the gate
M1 Charter approved	1	Sponsor signature
M2 Contract signed, requirements signed off	4	Signed statement of work and requirements document
M3 Platform configured	12	Build walkthrough accepted by the HR Operations Manager
M4 Integration and data migration complete	15	Reconciled record counts and integration test pass
M5 UAT sign-off	19	UAT exit report signed by HR Operations and IT
M6 Go-live, all sites	21	Go/no-go decision at steering committee
M7 Hypercare complete, project closed	26	Closure report and lessons learned accepted by the sponsor

Budget

Component	Amount	Who controls it
Work packages: the performance baseline, or budget at completion (BAC)	£170,000	Project manager, measured against the baseline
Contingency reserve, 10% of BAC, for identified risks	£17,000	Project manager up to £5,000 per item; sponsor above that

Component	Amount	Who controls it
Management reserve, for unidentified risks	£13,000	Sponsor only, through a change request
Total approved budget	£200,000	Sponsor

Stakeholders

Stakeholder	Role on the project
Director of People	Sponsor: owns the business case, approves changes above PM tolerance, chairs the steering committee
HR Operations Manager	Business lead: owns requirements, UAT sign-off and benefits after closure
Head of IT Service Desk	Owns account provisioning and integration acceptance
Finance Business Partner	Approves purchase orders and reconciles costs monthly
Data Protection Officer	Approves the data protection impact assessment before personal data moves
Site managers (4)	Release staff for training and confirm local go-live readiness
Vendor account manager	Delivers configuration, integration and migration under the statement of work
Line managers	Main users: trigger and track onboarding tasks

Project manager authority

- Run day-to-day delivery, team priorities and vendor coordination
- Approve contingency drawdowns up to £5,000 per item, each recorded in the contingency log
- Raise an exception report and change request to the sponsor for anything outside tolerance

Tolerances

Dimension	Green	Amber	Red: exception to sponsor
Cost: variance against work done	Within 5%	5–10%	Over 10%
Schedule: key milestone slip	Up to 1 week	1–2 weeks	Over 2 weeks, or go-live at risk
Scope	No change	Change absorbed within budget and time	Change needing more budget or time

Assumptions

- The HR system's API supports real-time employee record creation
- Legacy onboarding records need only light cleansing before migration
- Each line manager can be released for one two-hour training session
- Named vendor consultants stay available for the project

Constraints

- Total budget fixed at £200,000
- Go-live must land before the September graduate intake, the largest of the year
- No personal data migrates until the data protection impact assessment is approved

Key risks

- Poor legacy data quality inflates migration effort; contingency held against it
- HR system integration limits; contingency held against it
- Low line manager adoption after go-live
- Vendor staffing changes mid-project

The full risk register and RAID log approach is covered in my case study Seeing It Coming.

Success criteria

Objectives 1 to 4 met, the closure report accepted by the sponsor, and no high-severity defects open at hypercare exit.

The first two assumptions broke in Month 3. The overrun section below shows what that cost and how it was contained.

From charter to baselines

Before work started, I broke the £170,000 into eight work packages and a month-by-month spend plan, so every later number had something to be measured against.

WBS	Work package	Cost type	Budget
1.0	Initiation and planning	Internal time	£8,000
2.0	Platform licence, year one	SaaS subscription, paid on signature	£42,000
3.0	Configuration and build	Vendor, fixed price	£34,000
4.0	Integration with HR system and IT service desk	Vendor time and materials, internal IT	£24,000
5.0	Data migration	Vendor time and materials, internal HR	£18,000
6.0	User acceptance testing	Internal time	£10,000
7.0	Training and change management	L&D time, materials, site sessions	£14,000
8.0	Go-live, hypercare and closure	Vendor support, internal time	£20,000
Total	**Budget at completion (BAC)**		**£170,000**

Estimates were built bottom-up: the vendor's fixed quote for configuration, vendor days at £750 a day for time-and-materials work, and internal hours at a standard blended rate.

Contract type decided where the cost risk sat. The licence and configuration were fixed, so they carried almost none; integration and migration were time and materials, so they carried most of it. That is where I aimed the £17,000 contingency.

Spend plan by month

Month	Weeks	Planned spend	Main work
1	1–4	£50,000	Planning; annual licence paid on contract signature
2	5–9	£30,000	Configuration; integration and migration begin
3	10–13	£36,000	Configuration complete; integration and migration peak
4	14–17	£26,000	Integration and migration complete; UAT

Month	Weeks	Planned spend	Main work
5	18–22	£18,000	UAT sign-off, training, go-live
6	23–26	£10,000	Hypercare and closure

The licence makes Month 1 heavy. Because it is paid once at a fixed price, it is earned in full on payment, which later softened the project-level cost figures.

The baseline was approved at the Week 4 steering committee. From then on it could change only through an approved change request.

How the project was tracked

The project ran on a fixed weekly rhythm: one tracker as the single source of truth, a Friday status report, and a monthly steering committee that reviewed cost and schedule together.

Forum	When	Who	Output
Stand-up	Daily, 15 minutes	Core team and vendor lead	Blockers logged, tracker updated
Tracker update	Every Thursday	Workstream owners	Percent complete and forecast dates
Status report	Every Friday	Project manager to sponsor and stakeholders	One-page RAG report
Cost review	Weekly; monthly with Finance	Project manager and Finance Business Partner	Updated budget tracker
Steering committee	Monthly, or on exception	Sponsor, HR Operations, IT, Finance	Decisions and change request approvals

Project tracker. Every task carried a WBS reference, an owner, a baseline finish, a forecast finish, percent complete and a status, so slippage showed against the baseline rather than a moving date. This is how it looked in Week 11.

ID	WBS	Task	Owner	Baseline finish	Forecast finish	Done	Status	Note
T-14	3.0	Configure workflows for four sites	Vendor lead	Wk 12	Wk 12	90%	In progress	On track

ID	WBS	Task	Owner	Baseline finish	Forecast finish	Done	Status	Note
T-19	4.0	Build HR system connector	IT integration lead	Wk 13	Wk 16	40%	Blocked	API is batch-only; middleware needed
T-22	5.0	Cleanse legacy starter records	HR data analyst	Wk 9	Wk 14	60%	In progress	About 30% of records duplicated or incomplete
T-23	5.0	Migrate templates and in-flight records	Vendor lead	Wk 13	Wk 16	10%	Not started	Waiting on T-22
T-27	6.0	Write UAT scripts	HR Operations Manager	Wk 16	Wk 16	20%	In progress	On track
T-31	7.0	Build training materials	L&D partner	Wk 17	Wk 17	15%	In progress	On track

Status report. Each Friday's one-page report rated five dimensions against the charter's tolerances, with a short commentary and the decisions needed. The Week 13 report was the first to go red.

Dimension	RAG	Commentary
Cost	Red	CPI 0.90, past the 10% tolerance. Overrun sits in data migration and integration. Exception report raised.
Schedule	Amber	Integration and migration forecast two weeks late; go-live at risk of a one-week slip.
Scope	Green	No change.
Risk	Amber	Risk R-03, legacy data quality, has become issue I-07.
Quality	Green	Configuration walkthrough accepted in Week 12.

Decisions needed from the sponsor: approve a £10,000 contingency drawdown under change request CR-004, and a fixed-price cap on the remaining migration work.

Milestone tracker. Milestones were checked against the charter baseline every week. Integration and migration slipped two weeks; running UAT preparation in parallel pulled one week back.

Milestone	Actual week	Variance against baseline
M1 Charter approved	1	On time
M2 Contract and requirements	4	On time
M3 Platform configured	12	On time
M4 Integration and migration complete	17	+2 weeks
M5 UAT sign-off	20	+1 week
M6 Go-live	22	+1 week
M7 Project closed	27	+1 week

How the budget was tracked

The budget tracker followed every work package through committed, accrued, actual and forecast figures, and the accrual line caught the migration overrun three weeks before an invoice would have.

Figure	What it means	Where it came from
Budget	Approved baseline for the work package	Charter and WBS
Committed	Money promised through a purchase order or signed contract, spent or not	Purchase orders approved by Finance
Accrued	Work done but not yet invoiced	Vendor timesheets and internal time logs
Actual cost	Invoiced plus accrued	Finance ledger plus accruals
Forecast to complete	Bottom-up estimate of what is left	Work package owners, re-estimated monthly
Estimate at completion	Actual cost plus forecast to complete	Calculated

Figure	What it means	Where it came from
Variance at completion	Budget minus estimate at completion	Calculated

Committed spend stopped surprises from fixed contracts: the £42,000 licence and £34,000 configuration contract were fully committed by Week 4. Accruals stopped surprises from time-and-materials work: in Week 11, vendor timesheets showed 12 more consultant days on migration than planned, about £9,000, while the next invoice was not due until Week 14.

Budget tracker at Week 13, end of Month 3, before corrective action

WBS	Budget	Actual cost	Forecast to complete	Estimate at completion	Variance
1.0 Planning	£8,000	£8,000	£0	£8,000	£0
2.0 Licence	£42,000	£42,000	£0	£42,000	£0
3.0 Configuration	£34,000	£34,000	£0	£34,000	£0
4.0 Integration	£24,000	£11,000	£15,000	£26,000	−£2,000
5.0 Data migration	£18,000	£16,000	£15,000	£31,000	−£13,000
6.0 UAT	£10,000	£0	£10,000	£10,000	£0
7.0 Training	£14,000	£4,000	£10,000	£14,000	£0
8.0 Go-live and hypercare	£20,000	£0	£21,000	£21,000	−£1,000
Total	**£170,000**	**£115,000**	**£71,000**	**£186,000**	**−£16,000**

The £186,000 forecast left just £1,000 of headroom under budget plus contingency (£187,000), with migration and go-live still ahead. That gap triggered the exception report.

Cost control with earned value

At the end of Month 3, earned value showed the project getting about 90p of work for every £1 spent, and the work-package detail showed one area doing far worse.

Three inputs drive it. Planned value (PV) is the budget for work scheduled by a date. Earned value (EV) is the budget for work actually completed. Actual cost (AC) is what that work really cost, accruals included.

To stop optimistic percent-complete figures inflating EV, I used fixed rules: tasks under two weeks earned 0% until done and 100% when done; longer tasks earned at pre-agreed checkpoints.

Key: PV = planned value · EV = earned value · AC = actual cost · BAC = budget at completion (£170,000)

- Cost variance (CV) = EV − AC
- Schedule variance (SV) = EV − PV
- Cost performance index (CPI) = EV ÷ AC
- Schedule performance index (SPI) = EV ÷ PV
- Estimate at completion (EAC), if the overrun continues = BAC ÷ CPI
- Estimate at completion (EAC), if the overrun was one-off = AC + (BAC − EV)
- To-complete performance index (TCPI) = (BAC − EV) ÷ (target budget − AC)

A negative variance, or an index below 1.00, means over budget or behind schedule.

Month 3 checkpoint, Week 13

Measure	Value	What it told me
Planned value	£116,000	Work scheduled by Week 13
Earned value	£104,000	Budgeted value of work actually done
Actual cost	£115,000	Spent, including accruals
Cost variance	−£11,000, or −10.6%	Red: past the 10% tolerance
Schedule variance	−£12,000	Behind plan
CPI	0.90	About 90p of work for every £1 spent
SPI	0.90	90% of planned work done
EAC if the overrun continues	£188,000	Breaks budget plus contingency
EAC if the overrun was one-off	£181,000	Inside contingency
TCPI to finish on £170,000	1.20	Remaining work 20% more efficient: not credible
TCPI to finish on £187,000	0.92	Achievable

The formula forecasts of £181,000 and £188,000 bracketed the £186,000 bottom-up figure. I reported the range to the sponsor rather than one number, and led with the bottom-up figure because it came from the people doing the work.

The project-level CPI hid the problem. The prepaid licence and fixed-price lines made up 81% of earned value and were on budget by design, which diluted the overrun.

Work package	EV	AC	CPI
5.0 Data migration	£7,000	£16,000	0.44
4.0 Integration	£9,000	£11,000	0.82
3.0 Configuration	£34,000	£34,000	1.00
1.0, 2.0 and 7.0 combined	£54,000	£54,000	1.00

The overrun: diagnosis and recovery

Two broken charter assumptions caused the overrun. A fixed-price cap, one change request and an in-house training switch brought the forecast down from £186,000 to £180,000 without touching the management reserve.

Root causes

1. Legacy data quality. About 30% of starter records were duplicated or missing fields, against a charter assumption of light cleansing. The vendor logged 12 extra consultant days on time and materials, about £9,000.
2. HR system integration. The HR system's API handled only overnight batch updates, not real-time ones. A middleware connector licence (£2,000) fixed it, and I approved that from contingency in Week 11, within my £5,000 limit.

Options I took to the sponsor

Option	Forecast cost	Schedule	Outcome
A. Keep migration on time and materials, absorb from contingency	£186,000, £1,000 headroom	No change	Rejected: no buffer left for go-live
B. Migrate only in-flight records, archive history read-only	About £182,000	No change	Rejected: auditors needed historical right-to-work records

Option	Forecast cost	Schedule	Outcome
C. Cap remaining migration at a fixed price, bring training materials in-house	£180,000, £7,000 headroom	One-week go-live slip	Chosen
D. Ask for management reserve	Covers any outcome	No change	Held back: reserve is for unknowns, not a known issue we could manage

What I did

1. Week 13: raised an exception report to the sponsor setting out the cause, the impact, the four options and my recommendation.
2. Week 14: took change request CR-004 to an extraordinary steering committee. It drew £10,000 of contingency for migration, above my £5,000 limit, and was approved on condition of a fixed-price cap.
3. Week 14: negotiated a £12,000 fixed-price cap on the remaining migration work, against the vendor's £15,000 estimate. Their discovery phase had missed the duplicates, so they shared the risk.
4. Week 15: moved training material production to the in-house L&D team, saving £3,000. With the sponsor's agreement, the saving went back into contingency once confirmed in Week 17.
5. Ran UAT script writing in parallel with migration, pulling back one week of the two-week slip.
6. Checked integration and migration costs at work-package level every week until both were complete.

One deliberate choice. I kept earned value measured against the original £170,000 baseline instead of re-baselining with the contingency added. A re-baseline would have reset CPI to 1.00 and hidden the overrun from the steering committee for the rest of the project.

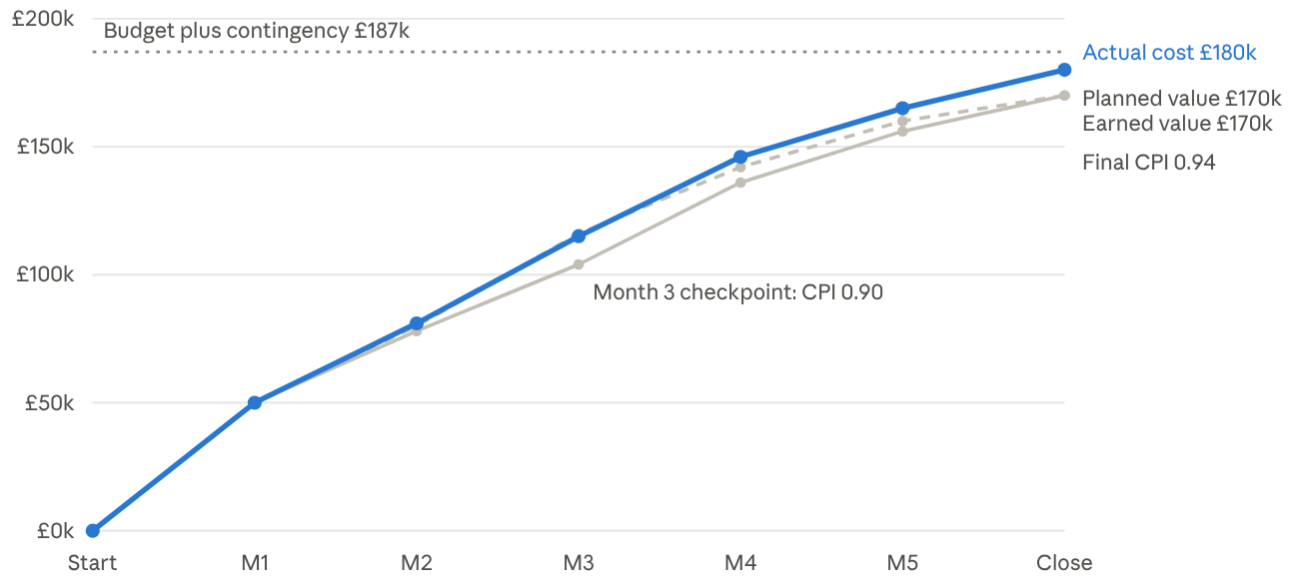
Outcome and closure

Project Threshold went live in Week 22, closed in Week 27 at £180,000, and handed back £20,000: £7,000 of unused contingency and the full £13,000 management reserve.

By Month 5, CPI had recovered to 0.95 and SPI to 0.98, bringing cost back from red to amber. Spend stayed under the budget-plus-contingency ceiling throughout.

Cost ran ahead of work from Month 2 but closed £7k under the ceiling

Cumulative planned value, earned value and actual cost, £ thousands



Illustrative scenario figures · cumulative, Month 1 to project close in Week 27

The gap between the blue actual-cost line and earned value is the overrun. It opened in Month 2 and stopped widening after the Week 14 decisions.

Contingency log

Ref	Week	Item	Approved by	Amount	Balance
Opening	1	Contingency set in charter	Sponsor	+ £17,000	£17,000
CD-01	11	Middleware connector licence	Project manager	−£2,000	£15,000
CR-004	14	Data migration overrun and fixed-price cap	Sponsor, at steering committee	− £10,000	£5,000
CD-02	17	Training materials delivered in-house	Sponsor	+£3,000	£8,000
CD-03	21	Extra week of vendor hypercare after go-live slip	Project manager	−£1,000	£7,000

Benefits at the three-month review. The HR Operations Manager, as benefits owner, ran the review three months after go-live.

Objective	Target	Result
New starters without full system access on day one	Under 5%	4%, down from 38%

Objective	Target	Result
HR admin time per new starter	Under 2 hours	About 1.5 hours, down from 6
Digital, auditable right-to-work and policy records	100%	100% since go-live

Closure

- Closure report accepted by the sponsor
- Lessons learned workshop with the project team, vendor and site managers
- Handover to business as usual: HR Operations owns the platform, the IT service desk owns the integration
- Financial close with Finance: final accruals cleared, purchase orders closed, licence moved to the HR operating budget
- Offboarding scoped as phase two

Lessons learned

The biggest lesson: test the assumptions that carry cost before pricing the work around them.

1. **Test costly assumptions early.** Two days of data profiling in Week 2 would have exposed the duplicates before migration was priced.
2. **Contract type decides where risk sits.** Cap time-and-materials work from the start wherever scope is uncertain.
3. **Track accruals, not just invoices.** Weekly accruals found the overrun three weeks before the invoice would have.
4. **Read CPI at work-package level.** A project CPI of 0.90 averaged a 0.44 problem with lines that were on budget by design.
5. **Keep the original baseline visible.** Re-baselining would have made the numbers look better and the reporting less honest.

What this case study demonstrates: project chartering and governance, WBS and cost baselining, contingency and management reserve, earned value management, variance analysis and forecasting, change control, escalation to a sponsor, vendor negotiation, and benefits handover.